

SALES

Decision Guide

Table of Contents

<i>Case Overview & Management Notes</i>	<i>2</i>
<i>Market Research</i>	<i>3</i>
<i>Sales Team</i>	<i>4</i>
Hiring/firing	4
Team allocation.....	4
Wage	5
Sales target	5
<i>Training & Development.....</i>	<i>5</i>
Training.....	5
Sales style	6
Sales workforce.....	7
<i>Report Analysis.....</i>	<i>7</i>
Goal	7
Technical Aspect	7


Microsimulation

Days	Hrs	Min	Sec
100	23	53	49







Sales Management




The segment Soft Drinks covers varieties of prepared water-based beverages to which flavouring additives have been added. These include cola drinks and lemonades, but also energy drinks, fruit nectars and soft drinks with fruit juice content, as well as value-added or flavoured water. Coffee and tea-based drinks are not included. The revenue in the soft drink segment in India amounts to USD 8.70bn in 2023. The market is expected to grow annually by 3% (2023 to 2027). The average volume per person in the soft drinks segment is expected to be 5.91 L in 2023.

The soft drinks segment is majorly divided into three categories i.e., Carbonated drinks, Energy & Sports drinks, and Non-Carbonated drinks. Non-Carbonated drinks account for the highest revenue in the market by 70% followed by Carbonated and Energy drinks.

The market for soft drinks is structured into retail sales for at-home consumption and on-premise or food service sales for out-of-home consumption. The at-home market, also called the off-trade market, covers all retail sales via super- and hypermarkets, convenience stores or similar sales channels. The out-of-home market, also called the on-trade market, away-from-home market or HORECA encompasses all sales to hotels, restaurants, catering, cafés, bars and similar hospitality service establishments.

Our client Pablo, Inc is a medium-sized business operating in the soft drinks market focused on selling Non-Carbonated drinks. The client wants to increase its sales effectiveness in the Maharashtra region.

Case Overview & Management Notes

The case provided is of Pablo Inc. one of the leading FMCG companies. They cater for the Mumbai market and offer soft drinks and juices of various flavours and sizes. Pablo Inc. conducted market research and based on consumers' preferences they introduced two new variants in their soft drinks and juice line. To increase the sales of the four new products, you have to emphasize the following:

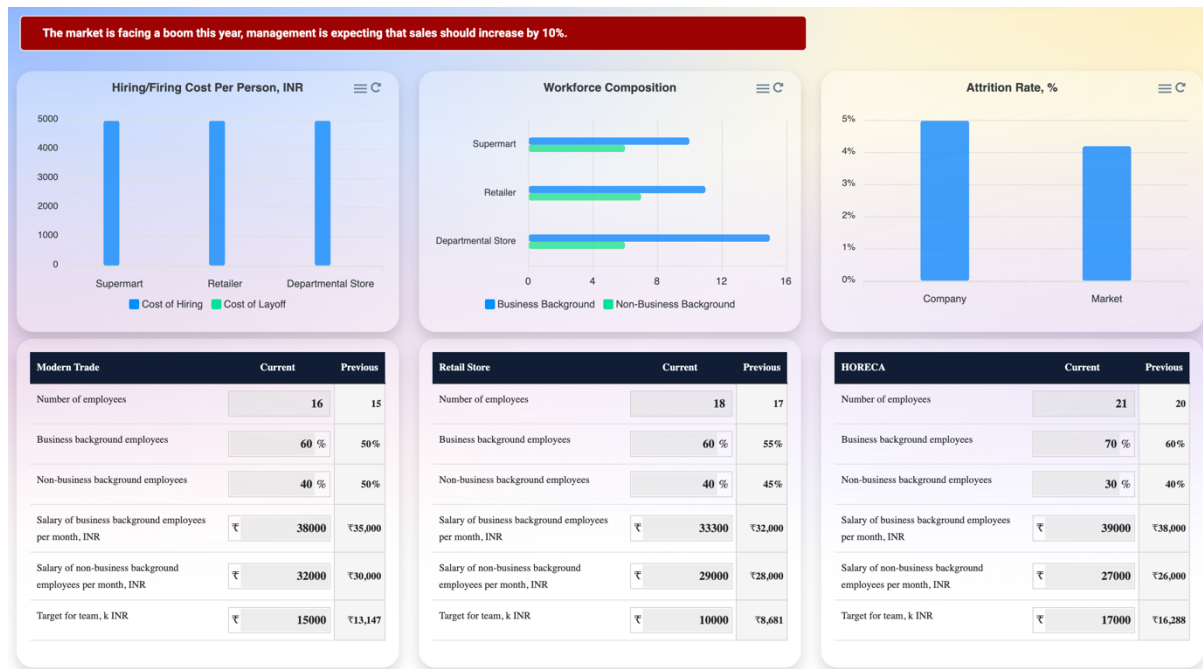
- FMCG market growth
- Hiring and management of the sales team
- Channel management
- Sales team communication skills
- Training and skill development
- Sales target and allocation of team



Market Research

The market research report provides an overview of the market. It gives detailed information about the channel, profit on product and sales through each channel. The products are sold in the market through three channels which are managed by three channel managers. The channel managers have their own set of teams, communication styles and skills. The factors to focus on in market research are as under:

- Connect profit and revenue generated by-products with the channels they are sold
- The personality types of managers and their working style
- Past performance of the sales by each personnel from the 3 channels.



Sales Team

The following decisions need to be made on this page:

Hiring/firing

The previous decision is mentioned for the number of salespeople working in each team. The decision to hire a new employee or fire one is dependent on the cumulative sales target to be achieved. The hiring and firing costs are also associated with the employee visible in the graph.

Team allocation

The employees can come from either background i.e., Business or Non-Business. The background reflects knowledge and communication in general. The factors to be considered before making any decisions here are:

- Productivity (Business background higher)
- Salary (Business background higher)

Wage

A wage is a form of motivation for the employee, the general rule of thumb is to provide an 8% to 10% hike to employees to keep their motivation running.

Sales target

The sales target provided to the employees has to be well calculated. If the target provided is unrealistic it will increase stress and employees will lose motivation. If the target provided is very likely achievable it can damage company revenues. The previous figure and market growth are the factors which will help decide the targets.



Training & Development

Once the sales team decision is made the next task for you is to set training and skill development to make the sales force efficient. The decisions are as follows:

Training

The different options are provided to train employees. You can choose a maximum of 3 training for each department. The factors to be considered for training choice in each department are:

- Total Cost
- Training Effectiveness (elasticity graph, for example 1.02 indicates that training will increase effectiveness by 2%)
- Training relevance to the department as per consumers

The various options available for training are as under:

Value-based Sales Tactics – Value-based sales tactics are an approach where salespeople develop consultative ways to make sure their client sees the end benefits.

Product Management – Product management is an approach where the product development team works effectively with sales to find out current needs and helps the sales team to communicate the product to end customers in a better way. It is a closed feedback loop.

Trust Sales – Trust sales is an approach to creating a relationship with buyers by carefully listening to them and asking them good questions. Trust sales represent the product values in 2 aspects functional and hedonic.

Key account management – This approach focuses on long-term relationship management with the help of customer relationship programs like customer loyalty and long-term engagement. This approach emphasizes customer retention and satisfaction rather than sales transaction

Relationship skills – This approach focuses on communicating clearly, listening actively, cooperating, resisting inappropriate social pressure, negotiating conflict constructively, and seeking and offering help.

After-sales concept – It is the follow-up support and resources provided for customers after they've purchased the product or service

Note: You can choose to train your employee on one training multiple times. It will increase effectiveness in that particular area with the trade-off being leaving other potential areas.

Sales style

The sales style will be dependent on the following two factors:

- Channel the salespeople are dealing with
- The manager personality type
- Sales style elasticity graph

The following sales styles are available to select from the options:

Adaptive Selling Style – A custom or tailored approach to selling which takes into account the type of customer, requirement, situation and feedback received.

Closing a sales – A style where you identify your decision maker, qualify your prospects, pitch your solutions, create a sense of urgency, overcome their objection and ask for a sale.

Efficient working methods – A way to get sales by setting deadlines, breaking into projects, working with a team, accountability building and achieving a perfectionist approach.

Negotiations – A training that incorporates a strategic discussion that resolves an issue in a way that both party finds acceptable.

Sales workforce

The participants have to select the workforce which represents three types of personality i.e.,

- Gung-ho: The one who is always cheerful and excited
- Buddy: The one with a friendly nature
- Consultative: The one who offers a solution

The variables that will decide the channel workforce are the elasticity graph, managers' personality and channel needs.

Report Analysis

The following factors need to be analysed in the report before going for the next iteration:

- Training and development cost
- Hiring/Firing cost
- Change in sales from the previous period
- Increase/decrease in cost from the previous period

Goal

To maximize the change in sales by optimizing the change in cost. If the cost increases by 1000 with an increase in sales being 3000 from the previous period, it means Rs. 1 spent earned Rs. 3 in revenue.

Technical Aspect

Once the participant registers on the platform, the module will be visible in his account.

- Once all decisions are made on the particular page click “Next”, and you will move ahead to the next page.

- You can visit the previous page again and edit your decisions.
- Once all decisions are made on both pages click on “Submit & Check”, the results can be viewed
- On the results page, there is an “Exit” button, which pressed will record the results and take the participant to the home page for the next iteration.